NMLS SAFE MLO

Full-Length Practice Exam Phase 3 — Exam 2

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	100%	120

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 3 — Exam 2 — QUESTIONS (1–120)

■■ Federal Laws ■■

[Federal Laws — TRID]

1. A borrower submits a complete mortgage application on Monday, January 6. The lender must deliver or mail the Loan Estimate no later than:

A) January 7 (next business day)

B) January 9 (3 business days later, counting Tuesday–Thursday)

C) January 13 (7 business days later)

D) January 16 (10 business days later)

[Federal Laws — TRID]

2. A borrower's credit score comes back lower than expected after the Loan Estimate was issued, causing the rate to increase by 0.5% and the APR to increase by 0.75%. Which of the following is the correct outcome?

A) The lender must issue a revised Loan Estimate with updated figures based on the changed circumstance

B) The lender may not re-issue the LE — the original figures are locked

C) The lender must issue a new Closing Disclosure immediately

D) The lender must deny the loan

[Federal Laws — RESPA]

3. A title company sends a $500 gift basket to a real estate agent's office every quarter as a thank-you for past referrals. Under RESPA Section 8:

A) This is permissible as a business courtesy under the $100 nominal value exception

B) This is a per-se Section 8 violation — any thing of value given for referrals of settlement service business is prohibited regardless of amount

C) This is permissible because no specific loan transaction is referenced

D) This is permissible if disclosed to the borrowers whose loans were referred

[Federal Laws — TILA]

4. A borrower signs a home equity loan on Friday. Under TILA's right of rescission, the borrower's right to cancel expires at midnight on:

A) Sunday

B) Monday

C) Tuesday

D) Wednesday

[Federal Laws — ECOA]

5. A lender denies a mortgage application, citing the borrower's income from part-time work as insufficient. The borrower is a 45-year-old woman. The lender's file shows similar income was accepted for a 30-year-old male applicant. ECOA requires the lender to:

A) Explain the income policy in writing only

B) Provide a written adverse action notice stating the specific reasons for denial within 30 days

C) Deny all applications with part-time income going forward to be consistent

D) Offer the borrower an alternative loan product

[Federal Laws — RESPA]

6. The RESPA Section 10 escrow account limitation limits escrow collection to no more than:

A) 1 month's worth of escrow items plus 1/6 (two months) cushion

B) 3 months of escrow items as a buffer

C) The full year's insurance and taxes collected at closing

D) 6 months of estimated disbursements

[Federal Laws — TILA]

7. Which of the following loans is EXEMPT from Regulation Z?

A) A $15,000 personal loan for home improvement

B) A $300,000 purchase mortgage

C) A business loan for commercial real estate in the borrower's business name

D) A home equity line of credit on a primary residence

[Federal Laws — ECOA]

8. Under Reg B, a lender is permitted to ask about marital status ONLY in which circumstance?

A) For any loan to determine creditworthiness

B) Only in community property states or when a spouse will be a co-signer or the property is relied upon as collateral

C) For government-monitoring purposes on all mortgage loans

D) Anytime the lender deems it necessary

[Federal Laws — Fair Housing]

9. A lender requires a larger down payment from applicants who live in predominantly minority ZIP codes. This practice is BEST described as:

A) A legitimate risk-management tool

B) Redlining — treating applicants differently based on the racial composition of the neighborhood

C) Steering — directing borrowers to certain neighborhoods

D) A permissible geographic underwriting adjustment

[Federal Laws — HOEPA]

10. An MLO originates a first-lien mortgage with an APR of 10% when the current Average Prime Offer Rate (APOR) for comparable transactions is 5%. What is the APR spread over APOR, and is this a HOEPA high-cost mortgage?

A) 5% spread; NOT a high-cost mortgage

B) 5% spread; YES, this is a HOEPA high-cost mortgage because 5% > the 6.5% first-lien threshold — wait, 5% < 6.5%, so NOT high-cost

C) The spread is irrelevant if the loan has no prepayment penalty

D) 5% spread; qualifies as HOEPA only if points and fees also trigger

[Federal Laws — HMDA]

11. Under HMDA, a financial institution must report data on all of the following loan types EXCEPT:

A) Home purchase loans

B) Home improvement loans

C) Refinance loans

D) Commercial real estate loans with no residential component

[Federal Laws — TRID]

12. Under TRID, which of the following fees is subject to a ZERO tolerance for increase from the Loan Estimate to the Closing Disclosure?

A) Recording fees

B) Homeowner's insurance

C) Lender's origination charges (fees and points)

D) Services the borrower can shop for (from the written list of providers)

[Federal Laws — ECOA]

13. A lender offers a female applicant a 30-year fixed rate of 4.5%. A similarly qualified male applicant received a 4.0% rate for the same loan product. This scenario describes:

A) A permissible rate difference based on individual creditworthiness
B) Disparate treatment — intentional discrimination based on sex, prohibited by ECOA
C) Disparate impact — a neutral policy that affects women more than men
D) A permissible difference within normal rate lock variation

[Federal Laws — Fair Housing]

14. A real estate agent tells an African American couple that a particular neighborhood 'might not be the best fit for them' and shows them homes only in predominantly minority areas. This is:

A) Legal steering if the neighborhoods shown have comparable home values
B) Illegal steering — directing buyers to or away from neighborhoods based on race, violating the Fair Housing Act
C) Permissible if the buyers don't specifically request a different area
D) Permissible as an exercise of the agent's professional judgment

[Federal Laws — HOEPA]

15. For a high-cost mortgage under HOEPA, the lender is REQUIRED to:

A) Provide a special HOEPA disclosure at least 3 business days before consummation
B) Approve borrowers with a minimum credit score of 620
C) Limit the loan to a maximum 30-year term
D) Eliminate all closing costs

[Federal Laws — HMDA]

16. Which of the following data elements is NOT currently required to be reported under HMDA?

A) Age of the applicant
B) Credit score of the applicant
C) Borrower's net worth
D) Debt-to-income ratio

[Federal Laws — TRID]

17. A borrower locks a rate 2 days after receiving the Loan Estimate. The new rate causes the APR to decrease by 0.3%. Under TRID, the lender:

A) Must re-issue a revised Loan Estimate to reflect the lower APR
B) Is not required to re-issue the LE — a decrease in APR does not require re-disclosure under TRID
C) Must issue a revised CD within 3 business days
D) Must obtain the borrower's written consent to proceed at the lower rate

[Federal Laws — RESPA]

18. Under RESPA, which of the following is NOT considered a 'settlement service'?

A) Title insurance
B) Loan origination services
C) Property tax payment on behalf of the borrower after settlement
D) Credit reporting

[Federal Laws — TILA]

19. An MLO charges a borrower a $500 'processing fee' that is not disclosed on the Loan Estimate. At closing, this fee appears on the Closing Disclosure. Under TRID, the lender:

A) May add the fee because it is a legitimate processing charge
B) May not add the fee — undisclosed lender fees violate the zero-tolerance rule
C) May add the fee if the borrower signs an acknowledgment

D) May add the fee because processing fees are not regulated by TRID

[Federal Laws — ECOA]

20. If a lender takes adverse action on a mortgage application, the adverse action notice must include all of the following EXCEPT:

A) The specific reasons for the adverse action

B) The CFPB's contact information and borrower's right to copy of the appraisal

C) The applicant's right to request the reasons within 60 days if reasons were not given

D) The name, address, and phone number of the lender

[Federal Laws — HMDA]

21. A financial institution receives an application for a home improvement loan on a property located outside an MSA where the institution has a branch. Must the institution report this loan under HMDA?

A) Yes — all home improvement loans must be reported

B) No — HMDA only requires reporting for transactions in MSAs where the institution has an office

C) Yes — but only if the loan amount exceeds $500,000

D) No — home improvement loans are never HMDA-reportable

[Federal Laws — TILA]

22. The 'finance charge' under Reg Z includes all of the following EXCEPT:

A) Discount points to reduce the interest rate

B) PMI premiums on a conventional loan

C) Appraisal fee

D) Loan origination fee charged by the lender

[Federal Laws — Fair Housing]

23. Under the Fair Housing Act, the protected class of 'familial status' protects:

A) Married couples only

B) Families with children under 18, pregnant women, and those in the process of securing legal custody of a child

C) All family members living in the same household

D) Only single parents with custody

[Federal Laws — RESPA]

24. Which of the following is a permissible arrangement under RESPA?

A) A lender paying a real estate agent $500 per referral

B) A title company paying an MLO for marketing services actually performed at fair market value

C) A lender requiring borrowers to use a specific title company without paying for it

D) A real estate agent receiving a fee split from a title company for referring clients

[Federal Laws — HOEPA]

25. Under HOEPA, for high-cost mortgages, which of the following loan features is PROHIBITED?

A) Fixed monthly payments that fully amortize the loan

B) An initial rate of 6% adjusting to market rates

C) Negative amortization

D) A 30-year loan term

[Federal Laws — HMDA]

26. HMDA data is collected and reported to:

A) The Federal Reserve only

B) The CFPB and each institution's federal regulator, and made available to the public

C) The Department of Housing and Urban Development only

D) State banking regulators only

[Federal Laws — TRID]

27. A borrower receives the Closing Disclosure on Wednesday. The earliest the loan can close (be consummated) is:

A) Wednesday (same day)

B) Thursday (next business day)

C) Saturday (3 calendar days later)

D) Monday (skipping the weekend)

[Federal Laws — ECOA]

28. Reg B requires that a lender not discriminate based on 'receipt of public assistance.' An MLO discovers that a significant portion of a borrower's qualifying income comes from Social Security Disability Income (SSDI). The MLO should:

A) Deny the loan because disability income is unreliable

B) Treat SSDI income the same as any other verifiable income in underwriting the loan

C) Request additional documentation not required of other applicants

D) Limit the loan amount to 80% LTV due to income type

■■ General Mortgage ■■

[General Mortgage — FHA Loans]

29. A borrower with a credit score of 575 applies for an FHA loan. Which of the following is accurate?

A) FHA will not insure any loan for a borrower with a score below 580

B) FHA may insure the loan with a maximum LTV of 90% (10% down) for scores between 500–579

C) FHA will insure the loan at 96.5% LTV

D) FHA requires a 20% down payment for scores below 580

[General Mortgage — FHA Loans]

30. Which of the following properties would MOST LIKELY NOT qualify for FHA financing?

A) A single-family home in good condition

B) A 4-unit property where the borrower will occupy one unit

C) A condominium in an FHA-approved project

D) A 5-unit apartment building

[General Mortgage — VA Loans]

31. A veteran with $36,000 in remaining VA entitlement (not full entitlement) wants to purchase a home for $350,000 with no down payment in a county with a conforming loan limit of $766,550. What is the situation?

A) The veteran cannot use VA financing without full entitlement

B) The veteran may use VA financing but must make a 25% down payment on the difference between the purchase price and 4x the remaining entitlement

C) The veteran automatically receives a bonus entitlement to cover the full purchase price

D) The veteran may purchase with no down payment because $350,000 is below the conforming limit

[General Mortgage — Conventional/PMI]

32. Lender-Paid PMI (LPMI) is structured so that the lender pays the mortgage insurance premium in exchange for:

A) A lower interest rate on the loan

B) A higher interest rate on the loan — the lender recoups the premium through the higher rate

C) A one-time borrower payment at closing

D) PMI being added to the loan balance

[General Mortgage — ARM Products]

33. An ARM loan has a note rate of 3.5% (start rate). The index is currently 2.0% and the margin is 2.75%. The fully indexed rate would be:

A) 4.75%
B) 5.50%
C) 3.75%
D) 2.75%

[General Mortgage — Underwriting/QM]

34. Which of the following is required for a loan to qualify as a General QM under the CFPB's QM rule?

A) The borrower must have a credit score above 680
B) No negative amortization, no IO features, no balloon payment, fully amortizing, max 30-year term, and points/fees ≤3% of total loan amount
C) The loan must be sold to Fannie Mae or Freddie Mac within 90 days
D) The borrower must make at least 10% down payment

[General Mortgage — Mortgage Math]

35. A property sells for $425,000. The buyer puts 20% down. The loan amount is:

A) $80,000
B) $340,000
C) $85,000
D) $355,000

[General Mortgage — Property/Appraisal]

36. When a comparables property sold for $280,000 had a garage, but the subject property has no garage, the appraiser would make which adjustment?

A) Add value to the comparable
B) Subtract value from the comparable
C) Add value to the subject property in the report
D) No adjustment is needed

[General Mortgage — FHA Loans]

37. FHA's Minimum Property Requirements (MPRs) require that the property meet which standard?

A) The property must be newly constructed within the past 5 years
B) The property must be safe, sound, and sanitary at the time of appraisal
C) The property must be in a low-crime area
D) The property must have no deferred maintenance of any kind

[General Mortgage — VA Loans]

38. VA's Minimum Property Requirements (MPRs) include all of the following EXCEPT:

A) Adequate heating and cooling systems
B) Safe and potable water supply
C) New construction only — VA does not finance existing homes
D) Adequate roof covering with no leaks

[General Mortgage — Conventional/PMI]

39. A borrower's loan has reached 20% equity based on APPRECIATION (not amortization). Under the Homeowners Protection Act, the borrower's PMI:

A) Must be automatically cancelled by the lender
B) May be requested to be cancelled by the borrower, subject to lender approval and potentially requiring an appraisal
C) Cannot be cancelled until the original amortization schedule reaches 78% LTV

D) Is automatically cancelled when any evidence of appreciation is shown

[General Mortgage — ARM Products]

40. 'Negative amortization' on an ARM occurs when:

A) The borrower makes extra principal payments above the required amount

B) The monthly payment is less than the interest accruing for that period, causing the loan balance to increase

C) The interest rate adjustment causes the payment to decrease

D) The index falls below the margin

[General Mortgage — Underwriting/QM]

41. The Consumer Financial Protection Bureau's Ability-to-Repay rule requires lenders to consider which factors? (Select the MOST complete answer)

A) Income, assets, credit history, and the introductory rate only

B) Current or expected income, assets, employment, credit history, alimony/child support obligations, DTI ratio, monthly payment for all mortgage-related obligations, and monthly payment for other simultaneous loans

C) Income and credit score only

D) DTI ratio below 43% in all cases

[General Mortgage — Mortgage Math]

42. Points on a mortgage loan are prepaid interest, where 1 point equals what percentage of the loan amount?

A) 0.5%

B) 1%

C) 2%

D) 10%

[General Mortgage — Property/Appraisal]

43. An appraisal report concludes a property value of $350,000 using the sales comparison approach. The cost approach value is $320,000. The appraiser should:

A) Always average the two approaches

B) Use the lower value to protect the lender

C) Give greatest weight to the most reliable approach for the property type; for residential, typically the sales comparison approach

D) Use the higher value to protect the borrower

[General Mortgage — FHA Loans]

44. Under FHA guidelines, what is the maximum seller contribution (seller concessions) allowed?

A) 3% of purchase price

B) 4% of purchase price

C) 6% of purchase price

D) 10% of purchase price

[General Mortgage — VA Loans]

45. VA loans do NOT require which of the following, which is typically required on conventional loans?

A) A property appraisal

B) Homeowner's insurance

C) Private Mortgage Insurance (PMI) or mortgage insurance premiums

D) A credit history check

[General Mortgage — ARM Products]

46. The initial cap on an ARM limits:

A) The maximum interest rate over the life of the loan

B) The amount the interest rate can change at the FIRST adjustment period

C) The maximum payment amount allowed

D) The margin added to the index

[General Mortgage — Mortgage Math]

47. A buyer purchases a home for $300,000 with a 10% down payment. The loan amount is $270,000. The lender requires PMI at a rate of 0.8% annually. What is the monthly PMI premium?

A) $180

B) $200

C) $240

D) $300

[General Mortgage — Underwriting/QM]

48. A borrower's DTI ratio is 48% with strong compensating factors (large reserves, excellent credit, significant equity). Under Fannie Mae Desktop Underwriter (DU), this loan might be:

A) Automatically denied because DTI exceeds 45%

B) Approved/Eligible if DU evaluates the compensating factors and determines acceptable risk

C) Approved only with a co-signer

D) Eligible only as a non-QM loan

[General Mortgage — Property/Appraisal]

49. The effective age of a property differs from the actual (chronological) age because:

A) The IRS uses a different depreciation schedule

B) Effective age reflects the property's condition and remaining useful life based on maintenance and renovation, not just years since construction

C) All properties depreciate at the same rate

D) The effective age is always older than the actual age

[General Mortgage — FHA Loans]

50. FHA streamline refinances are available to existing FHA borrowers and require which of the following?

A) A full income verification and new appraisal

B) A minimum credit score of 640 with full documentation

C) Limited documentation — no income verification or appraisal typically required; must demonstrate a net tangible benefit

D) A DTI ratio below 43%

[General Mortgage — VA Loans]

51. The VA Interest Rate Reduction Refinance Loan (IRRRL), also known as the VA streamline refinance:

A) Requires a new VA appraisal and full income verification

B) Allows eligible veterans to refinance an existing VA loan with limited documentation, no appraisal required in most cases, and must result in a lower rate or changed loan type

C) Is only available to purchase a new home

D) Requires a 6-month waiting period after the original loan closing

[General Mortgage — Conventional/PMI]

52. Which entity guarantees FNMA (Fannie Mae) mortgage-backed securities?

A) The U.S. Treasury Department

B) FNMA itself (Fannie Mae) guarantees payment of principal and interest to MBS investors

C) The FDIC

D) The Office of the Comptroller of the Currency (OCC)

[General Mortgage — Underwriting/QM]

53. In underwriting, 'compensating factors' are used to offset:

A) A property that doesn't meet minimum standards

B) Weaknesses in a borrower's credit profile that exceed program guidelines (e.g., high DTI, low credit score, limited down payment)

C) Missing required loan documents

D) An MLO's lack of experience with a particular loan type

[General Mortgage — Mortgage Math]

54. An MLO is quoting rates and the borrower asks about the difference between a 15-year and 30-year mortgage. On a $250,000 loan, the 30-year rate is 6.5% and the 15-year rate is 6.0%. Which statement is MOST ACCURATE?

A) The 15-year loan always has a lower monthly payment

B) The 30-year loan costs less in total interest over the life of the loan

C) The 15-year loan has a higher monthly payment but significantly less total interest paid

D) The rates are always identical for both terms

[General Mortgage — Property/Appraisal]

55. An environmental hazard such as a known underground oil tank on a subject property would MOST LIKELY affect the appraisal by:

A) Having no effect if the property otherwise meets MPRs

B) Requiring the appraiser to note the condition and typically reducing the appraised value, with the lender potentially requiring remediation before closing

C) Automatically disqualifying the property from any mortgage financing

D) Requiring a separate environmental appraisal only for commercial properties

[General Mortgage — FHA Loans]

56. For an FHA loan, the 'base loan amount' is calculated as:

A) The purchase price only

B) The lesser of the appraised value or purchase price, multiplied by the appropriate LTV factor

C) The appraised value regardless of purchase price

D) The purchase price plus closing costs

■■ Loan Origination ■■

[Loan Origination — Application/1003]

57. A borrower wants to apply for a mortgage but has had recent major derogatory events: foreclosure 2 years ago, short sale 3 years ago, and Chapter 13 bankruptcy discharged 4 years ago. Which program has the SHORTEST mandatory waiting periods for all three events?

A) Conventional (Fannie Mae)

B) VA loan program

C) FHA loan program

D) USDA Rural Housing

[Loan Origination — Income/DTI]

58. A borrower receives a $1,000 monthly car allowance from their employer that is reported on their W-2. Their actual car expenses are $1,200/month. How should the MLO treat this income?

A) Include the full $1,000 as income and include the $1,200 car payment in DTI

B) Include only the net benefit ($1,000 - $1,200 = negative; do not include) or exclude entirely; also exclude the car payment from DTI as it is employer-reimbursed

C) Include only $200 above the car payment

D) Include the full $1,000 and exclude the car payment from DTI

[Loan Origination — Credit Analysis]

59. A 'rapid rescore' request requires the MLO to provide the credit reporting company with:

A) A verbal explanation of the changes

B) Court documents, paid receipts, or letters from creditors documenting the changes to be updated

C) The borrower's bank statements showing payment history

D) The new credit score target the borrower wants to achieve

[Loan Origination — Disclosures]

60. A borrower shopping for a mortgage receives a Loan Estimate from Lender A on March 1 and decides to proceed with Lender B instead. The borrower must notify Lender A:

A) Within 3 business days

B) There is no requirement — the LE expires on its own and creates no obligation to notify

C) The borrower must provide written rejection within 7 days

D) The borrower must pay Lender A a non-refundable processing fee

[Loan Origination — Products/Programs]

61. A borrower qualifies for both FHA (at 3.5% down) and conventional (at 5% down). Which factor would make conventional the BETTER choice?

A) The borrower has a credit score of 580

B) The borrower plans to keep the loan for more than 10 years and has a credit score of 740 (conventional PMI may be lower and cancellable)

C) The borrower needs seller concessions above 5%

D) The borrower is purchasing a property in need of significant repairs

[Loan Origination — Income/DTI]

62. Social Security retirement income received by a borrower is grossed up by what factor for qualifying purposes under most agency guidelines?

A) Not grossed up — used at face value

B) Grossed up by 25% (divided by 0.75) because it is not subject to federal income tax for some recipients

C) Grossed up by 15%

D) Halved because it is fixed and non-increasing

[Loan Origination — Credit Analysis]

63. A borrower has a student loan in income-driven repayment (IDR) with a current payment of $0/month. Under Fannie Mae guidelines, the MLO should include in DTI:

A) The $0 actual payment

B) 0.5% of the outstanding student loan balance as the monthly payment

C) 1% of the outstanding student loan balance

D) The maximum possible payment under the loan terms

[Loan Origination — Disclosures]

64. A borrower has a right to receive a copy of the appraisal under Reg B. The lender must provide the appraisal to the borrower:

A) Only if the borrower specifically requests it

B) Automatically, no later than 3 business days before loan consummation or promptly upon completion, whichever is earlier

C) Only at closing

D) Only if the appraisal results in a value lower than expected

[Loan Origination — Processing/Closing]

65. A 'clear to close' (CTC) from the underwriter means:

A) The loan has been submitted to the underwriter for review

B) All underwriting conditions have been satisfied and the loan is approved to proceed to closing

C) The title search has cleared all liens

D) The borrower's rate lock has been extended

[Loan Origination — Income/DTI]

66. For underwriting purposes, a borrower's overtime income may be used for qualifying when:

A) The borrower has received overtime in the past 3 months

B) The borrower has a 2-year history of receiving overtime income and the employer confirms it will likely continue

C) The employer guarantees future overtime in writing

D) Any overtime income shown on the most recent pay stub

[Loan Origination — Credit Analysis]

67. A borrower's credit report shows a medical collection of $750. Under current Fannie Mae guidelines (as updated):

A) Medical collections must always be paid off before closing

B) Medical collections are generally excluded from DTI calculations and do not require payoff

C) Medical collections require a 12-month payment history

D) Medical collections increase the required down payment by 5%

[Loan Origination — Application/1003]

68. The URLA (1003) requires the borrower to disclose all real estate owned. This is important for underwriting because:

A) It determines the borrower's property tax obligations

B) It helps the lender identify other properties with mortgages that must be included in DTI, and reveals potential rental income or occupancy fraud risk

C) It determines the maximum loan amount

D) It is required only if the borrower is purchasing a second property

[Loan Origination — Disclosures]

69. The Three-Day Waiting Period after the Loan Estimate is delivered protects borrowers by:

A) Giving them time to arrange moving services

B) Ensuring borrowers have time to review the LE, shop competitors, and make an informed decision before the lender can impose charges (except for the credit report fee)

C) Allowing the lender time to order the appraisal

D) Preventing rate locks for 3 days after application

[Loan Origination — Products/Programs]

70. A 'portfolio loan' is one that:

A) Is sold to Fannie Mae or Freddie Mac for securitization

B) The lender originates and holds in its own portfolio rather than selling to the secondary market

C) Is insured by FHA and held by HUD

D) Is originated in multiple states simultaneously

[Loan Origination — Processing/Closing]

71. A 'wet settlement' differs from a 'dry settlement' in that:

A) Wet settlements involve higher closing costs

B) In a wet settlement, funds are disbursed at the closing table on the day of signing; in a dry settlement, documents are signed but funds are not disbursed until conditions are met (common in some Western states)

C) Wet settlements require a 3-day waiting period

D) Dry settlements are required by federal law

[Loan Origination — Credit Analysis]

72. A borrower has a bankruptcy discharged 5 years ago with no derogatory credit since. Their current credit score is 680. For conventional financing, this borrower:

A) Is permanently ineligible for conventional loans after bankruptcy

B) May qualify — Fannie Mae's 4-year waiting period from discharge has been satisfied, and the re-established credit strengthens the application

C) Must wait 7 years from discharge for conventional financing

D) Is only eligible for FHA at this point

[Loan Origination — Income/DTI]

73. When calculating DTI for a borrower who will be renting out their current home after purchasing a new primary residence, the MLO should:

A) Ignore the current home's mortgage payment from DTI entirely

B) Include the current home's full mortgage payment in DTI and offset it with 75% of signed rental income from a lease agreement

C) Include both the full current mortgage and new mortgage with no offset

D) Exclude the new home payment from DTI if it will be the primary residence

[Loan Origination — Application/1003]

74. On the 1003, the 'purpose of loan' section identifies the transaction as purchase, refinance, or construction. This distinction matters most for:

A) Calculating the application fee

B) Determining which disclosures are required (e.g., right of rescission applies to refinances of primary residence, not purchases)

C) Establishing the borrower's credit score requirements

D) Setting the maximum loan amount

[Loan Origination — Products/Programs]

75. A 'jumbo' mortgage is defined as a loan that:

A) Has a loan amount of $1 million or more

B) Exceeds the conforming loan limits set by the FHFA for the specific geographic area

C) Is originated for more than one property

D) Has a term exceeding 30 years

[Loan Origination — Disclosures]

76. Which disclosure must an MLO provide if they have a financial interest in a title company to which they refer business?

A) No disclosure is required as long as the title company is licensed

B) The RESPA Affiliated Business Arrangement (AfBA) disclosure within 3 business days of the referral

C) A Good Faith Estimate of title charges only

D) Annual disclosure in the MLO's marketing materials

[Loan Origination — Processing/Closing]

77. A 'vesting' decision at closing determines:

A) The borrower's interest rate lock period
B) How title to the property will be held — individual, joint tenancy, tenancy in common, community property, trust, etc.
C) The closing date and time
D) The method of payment for closing costs

[Loan Origination — Income/DTI]

78. A borrower receives annual bonus income of $24,000 (paid once per year in December). The borrower has received this bonus for 3 consecutive years. For qualifying purposes, the monthly bonus income is:

A) $24,000 divided by 1 month = $24,000/month
B) $24,000 divided by 12 = $2,000/month, averaged over the past 2 years
C) Not usable because it is not guaranteed
D) Only usable in December when the bonus is received

[Loan Origination — Credit Analysis]

79. When reviewing a credit report, a 'charge-off' account means:

A) The debt has been legally forgiven by the IRS
B) The creditor has written the account off as a loss on their books, but the debt is still owed by the borrower
C) The collection statute of limitations has expired
D) The borrower has satisfied the debt through bankruptcy

[Loan Origination — Processing/Closing]

80. In a purchase transaction, who typically selects the settlement/closing agent?

A) Always the lender
B) Always the borrower
C) Varies by state and local custom — may be lender, buyer, seller, or real estate agents depending on jurisdiction
D) Always the real estate agent representing the buyer

[Loan Origination — Products/Programs]

81. A 'bridge loan' is used to:

A) Connect the borrower's bank account to the lender's payment system
B) Provide short-term financing to purchase a new home before the sale of the borrower's current home is completed
C) Finance the construction of a bridge or infrastructure
D) Refinance a loan that is in default

[Loan Origination — Income/DTI]

82. A borrower earns $120,000 per year base salary. The MLO calculates monthly income as $10,000. The proposed PITI is $2,800. Monthly debts include: car $400, student loan $350, minimum credit card $150. What is the back-end DTI?

A) 28%
B) 36%
C) 27.5%
D) 37%

[Loan Origination — Application/1003]

83. The SAFE Act requires the MLO's NMLS Unique Identifier to appear on which documents?

A) Only on the 1003 (loan application)
B) On the loan application and all loan documents, advertisements, and solicitations
C) Only on documents where the borrower signs
D) On the Closing Disclosure only

[Loan Origination — Disclosures]

84. A homebuyer purchases a new home and receives the Closing Disclosure 2 business days before closing (not the required 3). This error:

A) Is a minor technical violation with no practical consequence
B) Requires that closing be postponed until 3 business days have elapsed from CD receipt
C) Is corrected if the borrower signs a waiver acknowledging receipt
D) Is only a violation if the borrower complains

[Loan Origination — Products/Programs]

85. Which of the following loan types is specifically designed for purchasing and renovating a property in a single loan transaction?

A) FHA 203(b) standard loan
B) FHA 203(k) rehabilitation mortgage
C) VA IRRRL
D) Conventional conforming purchase loan

[Loan Origination — Processing/Closing]

86. At the closing table, the borrower reviews and signs the Note, Deed of Trust/Mortgage, and Closing Disclosure. If there is a discrepancy between what was verbally promised by the MLO and what appears in the final documents:

A) The verbal promise overrides the written documents
B) The written loan documents control — the contract is the signed documents, and verbal representations generally do not supersede them
C) The borrower should sign and dispute later
D) The MLO must correct the discrepancy verbally at the closing table

■■ Ethics ■■

[Ethics — UDAAP Unfair]

87. An MLO's company charges a $750 'administrative compliance fee' at closing that was not on the Loan Estimate. The fee is buried in a 3-page addendum to the closing package, disclosed only minutes before signing. A regulator analyzing this under UDAAP Unfair would focus on which element?

A) Whether the fee amount is excessive
B) Whether the injury (unexpected fee) was reasonably avoidable by the consumer given the last-minute, obscured disclosure
C) Whether the MLO knew about the fee in advance
D) Whether the fee was paid to a third party or retained by the lender

[Ethics — UDAAP Deceptive]

88. An MLO tells a first-time homebuyer that their rate is 'the best rate available anywhere in the market today.' The rate is actually 0.75% higher than rates available from competing lenders. Under UDAAP Deceptive, the key analysis is:

A) Whether the MLO had access to a lower-rate product from any lender
B) Whether the statement was misleading, a reasonable consumer would rely on it, and it was material to the borrower's decision — all three elements must be met
C) Whether the borrower suffered actual financial harm from the higher rate
D) Whether the MLO made the statement in writing or only verbally

[Ethics — UDAAP Abusive]

89. Which of the following MOST ACCURATELY describes conduct that could be both UNFAIR and ABUSIVE simultaneously under UDAAP?

A) Charging any fee above market rate

B) An MLO who charges high fees to elderly borrowers with cognitive decline who cannot protect their interests, resulting in substantial injuries that are not reasonably avoidable

C) Filing a SAR report without informing the borrower

D) Recommending a fixed-rate product to a borrower who wanted an ARM

[Ethics — Fraud for Profit]

90. A mortgage company employee creates fictitious borrowers, properties, and appraisals to obtain mortgage loans, then pockets the proceeds. Loan payments are never made. This scheme is called:

A) Occupancy fraud

B) Property flipping fraud

C) An air loan scheme

D) Equity skimming

[Ethics — Fraud for Housing]

91. A borrower is approved for a mortgage with a stated income of $95,000/year. The borrower's actual income is $65,000/year. The MLO prepared the loan knowing the income was inflated. Both the borrower and MLO are:

A) Only the borrower is at fault; the MLO was just doing their job

B) Both potentially criminally liable for mortgage fraud — the borrower for misrepresentation and the MLO for knowingly facilitating the fraud

C) The MLO has no liability because the borrower signed the 1003

D) Only the borrower is liable; MLOs are protected by professional immunity

[Ethics — Predatory Lending]

92. An MLO repeatedly contacts elderly homeowners with significant equity and encourages them to refinance every 12-18 months, collecting origination fees each time without improving the borrower's financial position. This BEST describes:

A) A legitimate refinancing service

B) Predatory loan flipping — repeatedly refinancing to generate fees without net benefit to the borrower

C) Equity stripping through foreclosure

D) An affiliated business arrangement

[Ethics — Professional Conduct]

93. Under Reg Z's loan originator compensation rules, which of the following is a PERMITTED form of variable compensation for an MLO?

A) Higher compensation for loans with higher interest rates

B) Higher compensation for loans with prepayment penalties

C) Higher compensation based on loan TYPE (e.g., FHA vs. conventional) rather than loan TERMS

D) Higher compensation for longer loan terms

[Ethics — BSA/AML]

94. A borrower brings $9,900 in cash to the closing — slightly under the $10,000 CTR threshold — and mentions they made three similar cash deposits last week. The MLO suspects structuring. The MLO should:

A) Accept the cash since it is below the CTR threshold

B) File a SAR within 30 days and NOT tip off the borrower that a report is being filed

C) File a CTR because the week's total exceeds $10,000

D) Refuse to accept any cash payments

[Ethics — UDAAP Unfair]

95. A lender offers a 'free rate lock' promotion but buries in the fine print that the lock automatically expires in 15 days (while competitors offer 30-60 day locks), and any extension requires a non-refundable 1% fee. When rates rise and borrowers are forced to pay the extension fee, the CFPB would likely analyze this as:

A) A permissible business practice since the fee was disclosed in fine print

B) UNFAIR — the injury (extension fee) is not reasonably avoidable because the design of the promotion is meant to obscure the short lock period and trap borrowers

C) DECEPTIVE only — the word 'free' is the misleading element

D) Permissible because borrowers could have locked with another lender

[Ethics — Fraud for Profit]

96. A property is purchased for $150,000, quickly 'flipped' to a straw buyer for $300,000 using a fraudulent appraisal, and the proceeds are split among conspirators. The lender later forecloses at the actual value of $150,000 and suffers a $150,000 loss. This scheme is called:

A) Occupancy fraud

B) Equity skimming

C) Property flipping fraud using a fraudulent appraisal

D) An air loan

[Ethics — UDAAP Deceptive]

97. A mortgage company advertises '1.99% mortgage rates!' in large font on a billboard. In small print readable only up close, the ad states this rate is for 7-day adjustable loans with a 50% LTV and maximum borrower credit score of 800. This advertisement is MOST LIKELY:

A) Permissible because the fine print discloses the actual terms

B) DECEPTIVE — the prominent headline rate misleads reasonable consumers because the qualifying conditions make the advertised rate unattainable for virtually all borrowers, and the fine print does not adequately cure the misleading headline

C) Permissible as long as any qualifying consumer could theoretically obtain the rate

D) Only a Fair Housing Act violation

[Ethics — Predatory Lending]

98. 'Packing' as a predatory lending practice involves:

A) Packaging multiple properties into a single loan

B) Adding unnecessary or undisclosed products (credit insurance, extended warranties, debt protection plans) into a loan without the borrower's full knowledge or consent

C) Inflating the appraised value to justify a higher loan amount

D) Steering borrowers to higher-cost products based on race

[Ethics — Professional Conduct]

99. An MLO is simultaneously a licensed real estate agent and is representing the seller on the same transaction where they are originating the mortgage for the buyer. This creates:

A) No conflict — dual licensure is common in the industry

B) A significant conflict of interest requiring full disclosure to all parties; many lenders prohibit or restrict this practice due to RESPA and ethical concerns

C) A permissible affiliated business arrangement

D) Only a state law issue with no federal implications

[Ethics — BSA/AML]

100. Under BSA, a 'Suspicious Activity Report' (SAR) must be filed within how many days of detecting suspicious activity?

A) 15 calendar days

B) 30 calendar days from the date the institution determines that a transaction is suspicious

C) 45 business days

D) 60 calendar days for loans under $25,000

[Ethics — UDAAP Unfair]

101. The 'countervailing benefits' element of the UNFAIR test asks the regulator to weigh:

A) The lender's profit margins against consumer losses

B) Whether the injury to consumers is outweighed by legitimate benefits to consumers generally or to competition — if so, the practice may not be UNFAIR

C) The number of consumers harmed versus the number who benefited

D) Whether the MLO personally benefited from the practice

[Ethics — Fraud for Housing]

102. A buyer cannot qualify for a mortgage on their own. A friend agrees to be the 'straw buyer' — taking the loan in their own name and transferring title afterward. Which of the following MOST ACCURATELY describes this situation?

A) A permissible co-borrower arrangement

B) Straw buyer fraud — the straw buyer misrepresents their intent to occupy and be the true borrower; both parties may face criminal liability

C) A legitimate use of gift funds

D) A permissible purchase-money trust arrangement

[Ethics — UDAAP Abusive]

103. An MLO pushes a borrower to close on a loan the day before the borrower's attorney can review the documents, saying 'the rate lock expires tomorrow and you'll lose the rate.' The borrower is not fluent in financial matters and relies on the MLO's guidance. The attorney later finds significant fee discrepancies. This scenario MOST LIKELY illustrates:

A) UNFAIR — because the borrower suffered substantial monetary harm

B) ABUSIVE — taking unreasonable advantage of the borrower's reasonable reliance on the MLO to act in their interest, while also materially interfering with their ability to understand the terms by denying time for attorney review

C) DECEPTIVE — because the rate lock deadline was a misrepresentation

D) No violation — rate lock deadlines are legitimate business requirements

[Ethics — Predatory Lending]

104. Which of the following is specifically listed as a predatory lending practice in regulatory guidance?

A) Offering 30-year fixed-rate mortgages to first-time buyers

B) Balloon loans with short terms sold to unsophisticated borrowers who cannot realistically refinance when the balloon comes due

C) 15-year mortgages with fully amortizing payments

D) Adjustable-rate mortgages with full disclosure of all caps and indexes

[Ethics — Professional Conduct]

105. An MLO discovers during processing that a borrower has an undisclosed liability (a co-signed loan for a family member) that would push DTI above approval limits. The MLO should:

A) Close the loan without updating the application to avoid losing the deal

B) Update the loan application, report the correct information, and assess whether the loan still qualifies — falsifying the application to omit known material information is mortgage fraud

C) Advise the borrower to refinance the co-signed loan before closing

D) Ask the underwriter to ignore the co-signed obligation

■■ SAFE Act ■■

[SAFE Act — Pre-License Education]

106. The SAFE Act's pre-licensing education requirement of 20 hours must include 3 hours of federal law content. Which of the following topics would be MOST appropriate for those 3 hours?

A) State foreclosure procedures

B) Federal mortgage laws: TILA, RESPA, ECOA, Fair Housing Act, HOEPA, HMDA, and SAFE Act provisions

C) Local property tax assessment methods

D) Investment property analysis and cap rate calculations

[SAFE Act — Continuing Education]

107. An MLO completes 8 hours of CE in November of Year 1. The CE provider submits the completion to NMLS. The MLO renews their license before the December 31 deadline. In Year 2, to satisfy CE, the MLO must complete:

A) 0 hours — the prior year's CE carries over

B) 8 hours of different content from what was completed in Year 1 (cannot repeat the same courses in consecutive years)

C) 4 hours — 50% credit for completing CE early in Year 1

D) 8 hours of the same courses to reinforce the material

[SAFE Act — Licensing Requirements]

108. Which of the following activities does NOT require an MLO license under the SAFE Act?

A) Taking a residential mortgage loan application for compensation

B) Negotiating mortgage loan terms with a borrower for compensation

C) Performing clerical loan processing functions that do not involve negotiating loan terms

D) Offering residential mortgage loan terms to a borrower for compensation

[SAFE Act — NMLS Registration]

109. An MLO who changes employers must:

A) Obtain a new NMLS Unique Identifier for the new employer

B) Submit a sponsorship request through NMLS for the new employer; the Unique Identifier remains the same

C) Surrender their current license and reapply

D) Take additional pre-licensing education

[SAFE Act — Transitional License]

110. A registered MLO (employee of a national bank) decides to join an independent mortgage company. Under the transitional license provision:

A) The MLO is immediately eligible for a full state license based on prior banking experience

B) The MLO may originate loans as a state-licensed MLO for up to 120 days while their state license application is pending, even if they haven't yet completed pre-licensing education

C) The MLO must first complete 20 hours of pre-licensing education before originating any loans

D) The MLO cannot originate any loans until the full license is issued

[SAFE Act — License Bars]

111. An MLO applicant discloses that 10 years ago they were convicted of felony embezzlement from their prior employer (a bank). Under the SAFE Act, this conviction:

A) Is no longer relevant because it occurred more than 7 years ago

B) Permanently bars the applicant from obtaining an MLO license — embezzlement (breach of trust) triggers the permanent bar with no time limitation

C) Results in a 7-year bar that has now expired — the applicant may proceed

D) Is subject to a case-by-case review by the state licensing authority

[SAFE Act — State Law]

112. A state requires MLO candidates to pass a state-specific written test in addition to the national SAFE MLO Test. This requirement is:

A) Prohibited — only the national SAFE exam is permitted

B) Permissible — states may impose additional requirements such as state-specific testing

C) Permissible only if the state test covers the same topics as the national exam

D) Invalid if the pass rate for the state test is below 50%

[SAFE Act — NMLS Registration]

113. NMLS Consumer Access allows the public to search for an MLO's information. Which of the following accurately describes what is publicly available?

A) Credit score, salary history, and home address

B) License status (active/inactive/expired), employment history, and any regulatory actions or disciplinary proceedings

C) Exam scores and pre-licensing education completion records

D) All information in the NMLS file including background check results

[SAFE Act — Licensing Requirements]

114. An individual who solely works as a loan processor and does not take applications or negotiate loan terms is:

A) Required to obtain a full MLO license

B) Exempt from MLO licensing as long as they work under the supervision of a licensed MLO and do not negotiate terms

C) Required to register with NMLS even without a license

D) Required to complete 8 hours of CE annually regardless of licensing status

[SAFE Act — Pre-License Education]

115. The 2-hour nontraditional mortgage products component of pre-licensing education is designed to ensure MLOs understand:

A) Investment property analysis and cap rate calculations

B) ARM products, interest-only loans, negative amortization loans, and other non-standard mortgage products that carry higher risks for borrowers

C) Conventional conforming loan underwriting guidelines

D) State foreclosure procedures

[SAFE Act — Continuing Education]

116. An MLO who fails to complete annual CE by the license renewal deadline may:

A) Continue originating loans for up to 30 days beyond the renewal deadline

B) Not originate any mortgage loans — the license lapses and there is zero grace period for origination

C) Continue originating if supervised by a licensed branch manager

D) Request a 60-day administrative extension from the state regulator

[SAFE Act — Transitional License]

117. The transitional license period of 120 days begins when:

A) The applicant submits the CE completion certificate

B) The applicant registers with NMLS as a transitional license holder and begins originating in the new state (or begins working for a state-licensed entity)

C) The applicant passes the national SAFE exam

D) The state sends the applicant a transitional license certificate

[SAFE Act — License Bars]

118. An MLO applicant has a prior DUI conviction (misdemeanor) from 3 years ago. Under the SAFE Act, this conviction:

A) Permanently bars the applicant from licensing

B) Results in a 7-year bar from the conviction date

C) Does not automatically bar licensing but must be disclosed and may be considered by the state licensing authority

D) Must be disclosed but has no effect on licensing eligibility

[SAFE Act — Continuing Education]

119. Which of the following is NOT a permissible way to satisfy the CE requirement?

A) Taking an NMLS-approved 8-hour course covering all required topics

B) Teaching an NMLS-approved CE course (instructors may receive credit)

C) Taking the national SAFE MLO exam instead of CE

D) Completing CE hours offered by a state mortgage association approved by NMLS

[SAFE Act — Licensing Requirements]

120. Under the SAFE Act, the term 'residential mortgage loan' does NOT include loans secured by which of the following?

A) A condominium occupied as a primary residence

B) A manufactured home on a permanent foundation

C) A cooperative apartment

D) A purely commercial office building with no residential component

EXAM Phase 3 — Exam 2 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	C	2	B	3	A	4	D	5	C
6	B	7	A	8	D	9	C	10	B
11	A	12	D	13	C	14	B	15	A
16	D	17	C	18	B	19	A	20	D
21	C	22	B	23	A	24	D	25	C
26	B	27	A	28	D	29	C	30	B
31	A	32	D	33	C	34	B	35	A
36	D	37	C	38	B	39	A	40	D
41	C	42	B	43	A	44	D	45	C
46	B	47	A	48	D	49	C	50	B
51	A	52	D	53	C	54	B	55	A
56	D	57	C	58	B	59	A	60	D
61	C	62	B	63	A	64	D	65	C
66	B	67	A	68	D	69	C	70	B
71	A	72	D	73	C	74	B	75	A
76	D	77	C	78	B	79	A	80	D
81	C	82	B	83	A	84	D	85	C
86	B	87	A	88	D	89	C	90	B
91	A	92	D	93	C	94	B	95	A
96	D	97	C	98	B	99	A	100	D
101	C	102	B	103	A	104	D	105	C
106	B	107	A	108	D	109	C	110	B
111	A	112	D	113	C	114	B	115	A
116	D	117	C	118	B	119	A	120	D

1. A borrower submits a complete mortgage application on Monday, January 6. The lender must deliver or mail the Loan Estimate no later than:

✓ C) January 13 (7 business days later)

The LE must be delivered or mailed within 3 business days of application. For TRID's LE delivery timeline, 'business days' are ALL calendar days except Sundays and federal holidays. Monday + 3 = Thursday, January 9 is the deadline.

2. A borrower's credit score comes back lower than expected after the Loan Estimate was issued, causing the rate to increase by 0.5% and the APR to increase by 0.75%. Which of the following is the correct outcome?

✓ B) The lender may not re-issue the LE — the original figures are locked

A credit score lower than expected (that was not relied upon when the original LE was issued) is a valid changed circumstance that allows re-disclosure of the LE. The lender may revise affected fees and the rate when a valid changed circumstance occurs.

3. A title company sends a $500 gift basket to a real estate agent's office every quarter as a thank-you for past referrals. Under RESPA Section 8:

✓ A) This is permissible as a business courtesy under the $100 nominal value exception

RESPA Section 8(a) prohibits any 'fee, kickback, or thing of value' for referrals of settlement service business. There is NO minimum dollar threshold — even small gifts tied to referrals are violations. There is no '$100 exception' under RESPA (unlike some other laws).

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4. A borrower signs a home equity loan on Friday. Under TILA's right of rescission, the borrower's right to cancel expires at midnight on:

✓ D) Wednesday

TILA's 3-business-day rescission period counts business days excluding Sundays and federal holidays. Friday (day 0) → Saturday (day 1) → Monday (day 2) → Tuesday (day 3). The right expires midnight Tuesday. Sundays don't count.

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5. A lender denies a mortgage application, citing the borrower's income from part-time work as insufficient. The borrower is a 45-year-old woman. The lender's file shows similar income was accepted for a 30-year-old male applicant. ECOA requires the lender to:

✓ C) Deny all applications with part-time income going forward to be consistent

ECOA requires written adverse action notices stating specific reasons for denial within 30 days. Combined with evidence that similarly situated male applicants were approved, this fact pattern also suggests potential sex/gender discrimination — but the adverse action notice is the minimum required action.

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6. The RESPA Section 10 escrow account limitation limits escrow collection to no more than:

✓ B) 3 months of escrow items as a buffer

RESPA Section 10 limits the escrow cushion to 1/6 of the total annual escrow disbursements (approximately 2 months' worth). At any point, the account balance may not exceed the monthly amount × 2 (cushion) above the required balance.

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7. Which of the following loans is EXEMPT from Regulation Z?

✓ A) A $15,000 personal loan for home improvement

Regulation Z (TILA) does not apply to business-purpose credit, commercial transactions, or loans for agricultural purposes. A commercial real estate loan made in a business name for a business purpose is exempt from Reg Z. All consumer residential mortgage products are covered.

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8. Under Reg B, a lender is permitted to ask about marital status ONLY in which circumstance?

✓ D) Anytime the lender deems it necessary

ECOA/Reg B generally prohibits asking about marital status except: (1) when the applicant is relying on community property or the spouse's income, (2) when the property is in a community property state, or (3) when a spouse will be a joint applicant or co-signer.

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9. A lender requires a larger down payment from applicants who live in predominantly minority ZIP codes. This practice is BEST described as:

✓ C) Steering — directing borrowers to certain neighborhoods

Using the racial composition of a neighborhood (ZIP code demographics) as an underwriting factor to require higher down payments is redlining — discrimination based on protected class characteristics of the area. This violates the Fair Housing Act and ECOA.

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10. An MLO originates a first-lien mortgage with an APR of 10% when the current Average Prime Offer Rate (APOR) for comparable transactions is 5%. What is the APR spread over APOR, and is this a HOEPA high-cost mortgage?

✓ B) 5% spread; YES, this is a HOEPA high-cost mortgage because 5% > the 6.5% first-lien threshold — wait, 5% < 6.5%, so NOT high-cost

The APR spread = 10% - 5% = 5 percentage points. HOEPA's first-lien APR trigger is >6.5% above APOR. Since 5% < 6.5%, this loan does NOT trigger the APR threshold for HOEPA. However, it could still be high-cost if points/fees trigger applies.

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11. Under HMDA, a financial institution must report data on all of the following loan types EXCEPT:

✓ A) Home purchase loans

HMDA requires reporting on home purchase loans, home improvement loans, and refinances of residential properties. Commercial real estate loans with no residential component (purely commercial/industrial) are not HMDA-reportable.

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12. Under TRID, which of the following fees is subject to a ZERO tolerance for increase from the Loan Estimate to the Closing Disclosure?

✓ D) Services the borrower can shop for (from the written list of providers)

TRID has three tolerance categories: (1) Zero tolerance (cannot increase at all): lender charges, required services using lender-selected providers, unaffiliated 3rd party fees in non-shoppable category, transfer taxes. (2) 10% tolerance: recording fees and certain shoppable services. (3) No limit: prepaid items, reserves, optional services.

13. A lender offers a female applicant a 30-year fixed rate of 4.5%. A similarly qualified male applicant received a 4.0% rate for the same loan product. This scenario describes:

✓ **C) Disparate impact — a neutral policy that affects women more than men**

Offering different rates to equally qualified borrowers based on sex is disparate treatment — intentional discrimination, the most direct form of ECOA violation. Disparate impact would be a neutral policy that results in disproportionate impact on a protected class.

14. A real estate agent tells an African American couple that a particular neighborhood 'might not be the best fit for them' and shows them homes only in predominantly minority areas. This is:

✓ **B) Illegal steering — directing buyers to or away from neighborhoods based on race, violating the Fair Housing Act**

Steering — directing buyers toward or away from neighborhoods based on race (or any protected class) — is a per se violation of the Fair Housing Act. The fact that home values are comparable doesn't matter; the discriminatory intent based on race is the violation.

15. For a high-cost mortgage under HOEPA, the lender is REQUIRED to:

✓ **A) Provide a special HOEPA disclosure at least 3 business days before consummation**

HOEPA requires a special disclosure (the HOEPA disclosure) to be provided to the borrower at least 3 business days before consummation. This gives the borrower time to reconsider the high-cost loan. Consummation cannot occur until after the waiting period.

16. Which of the following data elements is NOT currently required to be reported under HMDA?

✓ **D) Debt-to-income ratio**

HMDA (as expanded by the 2015 rule) requires reporting of: age, credit score, DTI, combined LTV, and many other data points. Net worth is NOT a required HMDA data element. The expanded HMDA requirements dramatically increased the amount of reported data.

17. A borrower locks a rate 2 days after receiving the Loan Estimate. The new rate causes the APR to decrease by 0.3%. Under TRID, the lender:

✓ **C) Must issue a revised CD within 3 business days**

Under TRID, re-disclosure of the LE is required when fees INCREASE beyond tolerance limits or when specific changed circumstances allow revised figures. A decrease in APR is not a triggering event requiring a new LE. The lower rate benefits the borrower.

18. Under RESPA, which of the following is NOT considered a 'settlement service'?

✓ **B) Loan origination services**

RESPA defines settlement services as services connected with a real estate settlement, including: title insurance, loan origination, credit reporting, appraisals, surveying, attorney services, and others. Ongoing property tax payments after settlement are not 'settlement services.'

19. An MLO charges a borrower a $500 'processing fee' that is not disclosed on the Loan Estimate. At closing, this fee appears on the Closing Disclosure. Under TRID, the lender:

✓ **A) May add the fee because it is a legitimate processing charge**

Lender fees not disclosed on the LE violate the zero-tolerance rule under TRID. A new, undisclosed lender fee appearing on the CD is not permissible without a valid changed circumstance that would justify re-disclosure on a revised LE. This is a TRID violation.

20. If a lender takes adverse action on a mortgage application, the adverse action notice must include all of the following EXCEPT:

✓ **D) The name, address, and phone number of the lender**

Adverse action notices must include: specific reasons (or notice of right to request them), lender contact info, and ECOA/Fair Housing notices. The CFPB's contact information and appraisal copy rights are separate requirements (Reg B appraisal rule), not part of the standard adverse action notice content.

21. A financial institution receives an application for a home improvement loan on a property located outside an MSA where the institution has a branch. Must the institution report this loan under HMDA?

✓ **C) Yes — but only if the loan amount exceeds $500,000**

HMDA reporting generally covers transactions related to properties in MSAs where the institution has an office or branch. Transactions outside MSAs for an institution with no presence there may not be reportable, depending on the institution's overall coverage determination.

22. The 'finance charge' under Reg Z includes all of the following EXCEPT:

✓ **B) PMI premiums on a conventional loan**

The appraisal fee paid to a third party is generally EXCLUDED from the finance charge under TILA/Reg Z if it is itemized and disclosed. Origination fees, discount points, and required PMI are included. The appraisal exclusion is a common exam point.

23. Under the Fair Housing Act, the protected class of 'familial status' protects:

✓ A) Married couples only

Familial status under the FHA protects: (1) families with at least one child under 18; (2) pregnant women; (3) individuals in the process of securing legal custody of a child under 18. This prevents discrimination against families with children (e.g., no children in buildings, no families on certain floors).

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24. Which of the following is a permissible arrangement under RESPA?

✓ D) A real estate agent receiving a fee split from a title company for referring clients

Marketing Service Agreements (MSAs) are permissible under RESPA ONLY if genuine services are actually performed AND fair market value is paid for those specific services — not for referrals. The other options all describe prohibited kickback or referral fee arrangements.

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25. Under HOEPA, for high-cost mortgages, which of the following loan features is PROHIBITED?

✓ C) Negative amortization

HOEPA prohibits for high-cost mortgages: (1) negative amortization; (2) balloon payments in most cases; (3) prepayment penalties after 1 year; (4) due-on-demand clauses without legitimate reason; (5) financing of credit insurance single premiums. Fixed, fully amortizing loans with market rates are permitted.

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26. HMDA data is collected and reported to:

✓ B) The CFPB and each institution's federal regulator, and made available to the public

HMDA data is submitted to the institution's federal regulator (OCC, Fed, FDIC, NCUA, or CFPB depending on institution type), compiled by the CFPB, and made available to the public. The public availability of HMDA data enables fair lending analysis by researchers, advocates, and regulators.

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27. A borrower receives the Closing Disclosure on Wednesday. The earliest the loan can close (be consummated) is:

✓ A) Wednesday (same day)

The 3-business-day waiting period after CD receipt counts all calendar days except Sundays and federal holidays. Wednesday + 3 days = Saturday. Saturday counts as a business day for CD purposes (unlike LE where Saturday counts). The earliest closing is Saturday.

---

28. Reg B requires that a lender not discriminate based on 'receipt of public assistance.' An MLO discovers that a significant portion of a borrower's qualifying income comes from Social Security Disability Income (SSDI). The MLO should:

✓ D) Limit the loan amount to 80% LTV due to income type

ECOA/Reg B prohibits discriminating based on receipt of public assistance, which includes SSDI. The MLO must treat SSDI income the same as any other verifiable income. Requiring additional documentation not required of other applicants would be discrimination.

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29. A borrower with a credit score of 575 applies for an FHA loan. Which of the following is accurate?

✓ C) FHA will insure the loan at 96.5% LTV

FHA guidelines: scores 580+ → maximum 96.5% LTV (3.5% down). Scores 500–579 → maximum 90% LTV (10% down). Scores below 500 → not eligible for FHA financing. Individual lenders may have stricter overlays.

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30. Which of the following properties would MOST LIKELY NOT qualify for FHA financing?

✓ B) A 4-unit property where the borrower will occupy one unit

FHA finances 1-to-4 unit residential properties only. A 5-unit apartment building is commercial/investment property and does not qualify for FHA residential mortgage insurance. The 4-unit property qualifies because the borrower will occupy one unit.

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31. A veteran with $36,000 in remaining VA entitlement (not full entitlement) wants to purchase a home for $350,000 with no down payment in a county with a conforming loan limit of $766,550. What is the situation?

✓ A) The veteran cannot use VA financing without full entitlement

With remaining (not full) entitlement, the veteran may still purchase but may owe a down payment. The calculation: 25% of purchase price = $87,500 guarantee needed; available entitlement = $36,000; shortfall = $51,500; down payment = $51,500. However, if the veteran restores entitlement, they may have different options.

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32. Lender-Paid PMI (LPMI) is structured so that the lender pays the mortgage insurance premium in exchange for:

✓ D) PMI being added to the loan balance

With LPMI, the lender pays the MI premium and recoups the cost by charging a higher interest rate. The borrower has no separate PMI payment but pays a higher rate for the life of the loan. Unlike borrower-paid PMI, LPMI cannot be cancelled when LTV reaches 80%.

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33. An ARM loan has a note rate of 3.5% (start rate). The index is currently 2.0% and the margin is 2.75%. The fully indexed rate would be:

✓ C) 3.75%

Fully indexed rate = Index + Margin = 2.0% + 2.75% = 4.75%. The start rate of 3.5% is BELOW the fully indexed rate of 4.75%, making this a teaser rate. When the rate first adjusts, it will likely increase toward the fully indexed rate (subject to caps).

---

34. Which of the following is required for a loan to qualify as a General QM under the CFPB's QM rule?

✓ B) No negative amortization, no IO features, no balloon payment, fully amortizing, max 30-year term, and points/fees ≤3% of total loan amount

General QM requirements include: no negative amortization, no interest-only, no balloon payments, fully amortizing, maximum 30-year term, and points/fees ≤3% of total loan amount (for loans ≥$100,000). There is no minimum credit score requirement in the QM rule itself.

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35. A property sells for $425,000. The buyer puts 20% down. The loan amount is:

✓ A) $80,000

20% of $425,000 = $85,000 down payment. Loan amount = $425,000 - $85,000 = $340,000. This loan amount would be below the conforming loan limit, making it eligible for conventional agency financing without PMI (at 80% LTV).

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36. When a comparables property sold for $280,000 had a garage, but the subject property has no garage, the appraiser would make which adjustment?

✓ D) No adjustment is needed

Appraisal adjustments are always made TO the comparable, not the subject. When the comparable is SUPERIOR (has something the subject lacks, like a garage), the appraiser SUBTRACTS from the comparable's sale price to make it comparable to the subject.

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37. FHA's Minimum Property Requirements (MPRs) require that the property meet which standard?

✓ C) The property must be in a low-crime area

FHA's MPRs require that properties be safe (no safety hazards), sound (structurally adequate), and sanitary (proper utilities, drainage, waste disposal). The FHA appraiser checks for these conditions and must note any deficiencies that affect habitability.

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38. VA's Minimum Property Requirements (MPRs) include all of the following EXCEPT:

✓ B) Safe and potable water supply

VA MPRs (like FHA MPRs) require safe, sound, and sanitary conditions: adequate mechanical systems, potable water, sound roof, proper drainage, etc. VA does NOT require new construction — VA financing is available for existing homes that meet MPRs.

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39. A borrower's loan has reached 20% equity based on APPRECIATION (not amortization). Under the Homeowners Protection Act, the borrower's PMI:

✓ A) Must be automatically cancelled by the lender

The HPA's automatic PMI cancellation is based on the ORIGINAL amortization schedule reaching 78% LTV. If cancellation is requested based on appreciation (current value), the borrower may request cancellation, but the lender may require: (1) good payment history, (2) no subordinate liens, and (3) an appraisal.

---

40. 'Negative amortization' on an ARM occurs when:

✓ D) The index falls below the margin

Negative amortization occurs when the minimum payment doesn't cover the interest due, and the unpaid interest is added to the principal balance. This causes the loan balance to GROW over time. Payment-option ARMs with teaser minimum payments were notorious for negative amortization before 2010.

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41. The Consumer Financial Protection Bureau's Ability-to-Repay rule requires lenders to consider which factors? (Select the MOST complete answer)

✓ C) Income and credit score only

The ATR rule requires consideration of 8 factors: (1) income/assets, (2) employment status, (3) mortgage payment, (4) payment on simultaneous loans, (5) mortgage-related obligations (taxes, insurance), (6) other debt payments, (7) DTI ratio, (8) credit history. The 43% DTI applies to General QM, not ATR generally.

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42. Points on a mortgage loan are prepaid interest, where 1 point equals what percentage of the loan amount?

✓ B) 1%

1 point = 1% of the loan amount. Discount points are prepaid interest paid at closing to reduce the interest rate. Origination points compensate the lender for making the loan. Both are included in the finance charge under TILA.

---

43. An appraisal report concludes a property value of $350,000 using the sales comparison approach. The cost approach value is $320,000. The appraiser should:

✓ A) Always average the two approaches

Appraisers apply a reconciliation process, giving greatest weight to the most applicable approach. For residential property with good comp sales, the sales comparison approach typically receives the most weight. The appraiser must explain and support their reconciliation.

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44. Under FHA guidelines, what is the maximum seller contribution (seller concessions) allowed?

✓ D) 10% of purchase price

FHA allows seller concessions up to 6% of the sales price. Amounts above 6% require a dollar-for-dollar reduction in the purchase price. Conventional loans limit seller contributions to 3% at ≥90% LTV, 6% at 75-90% LTV, and 9% at <75% LTV.

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45. VA loans do NOT require which of the following, which is typically required on conventional loans?

✓ C) Private Mortgage Insurance (PMI) or mortgage insurance premiums

VA loans are one of the few loan programs that do NOT require mortgage insurance (PMI or MIP), even with zero down payment. The VA guaranty replaces the need for MI. VA does require appraisals, homeowner's insurance, and credit review.

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46. The initial cap on an ARM limits:

✓ B) The amount the interest rate can change at the FIRST adjustment period

ARM caps work as: (1) Initial cap — limits the rate change at the first adjustment; (2) Periodic cap — limits rate change at each subsequent adjustment; (3) Lifetime cap — limits total change over the loan life. The initial cap is often different (higher) than the periodic cap.

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47. A buyer purchases a home for $300,000 with a 10% down payment. The loan amount is $270,000. The lender requires PMI at a rate of 0.8% annually. What is the monthly PMI premium?

✓ A) $180

Annual PMI = $270,000 × 0.8% = $2,160. Monthly PMI = $2,160 ÷ 12 = $180. PMI is calculated on the outstanding loan balance (or sometimes the original loan amount, depending on the policy). On the exam, use the loan amount unless told otherwise.

---

48. A borrower's DTI ratio is 48% with strong compensating factors (large reserves, excellent credit, significant equity). Under Fannie Mae Desktop Underwriter (DU), this loan might be:

✓ D) Eligible only as a non-QM loan

Fannie Mae DU can approve loans with DTI up to 50% when compensating factors support the risk (credit score, reserves, LTV). DTI 45-50% is within DU's approval range with appropriate compensating factors. This remains a QM loan if other QM requirements are met.

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49. The effective age of a property differs from the actual (chronological) age because:

✓ C) All properties depreciate at the same rate

Effective age reflects the appraiser's assessment of a property's condition relative to other properties of the same age. A well-maintained 40-year-old home might have an effective age of 20 years; a poorly maintained 10-year-old home might have an effective age of 25 years.

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50. FHA streamline refinances are available to existing FHA borrowers and require which of the following?

✓ B) A minimum credit score of 640 with full documentation

FHA streamline refinances are available to existing FHA borrowers and generally require no new appraisal, no income verification, and limited documentation. The key requirement is a 'net tangible benefit' (lower payment or rate, or changing from ARM to fixed). The borrower must be current on the existing FHA loan.

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51. The VA Interest Rate Reduction Refinance Loan (IRRRL), also known as the VA streamline refinance:

✓ A) Requires a new VA appraisal and full income verification

The VA IRRRL allows veterans with existing VA loans to refinance with minimal documentation, no appraisal in most cases, and no income verification. The new loan must have a lower rate (or switch from ARM to fixed). The funding fee may apply but is reduced for IRRRL transactions.

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52. Which entity guarantees FNMA (Fannie Mae) mortgage-backed securities?

✓ D) The Office of the Comptroller of the Currency (OCC)

Fannie Mae (and Freddie Mac) guarantee their own mortgage-backed securities — they guarantee the timely payment of principal and interest to MBS investors. While there is an implicit (and post-2008, explicit) government backing, it is FNMA itself that is the guarantor on the MBS.

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53. In underwriting, 'compensating factors' are used to offset:

✓ C) Missing required loan documents

Compensating factors are borrower strengths that can offset weaknesses in the application. Common compensating factors: significant reserves, low LTV, excellent credit history, stable long-term employment, minimal payment shock, additional income not used in qualifying.

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54. An MLO is quoting rates and the borrower asks about the difference between a 15-year and 30-year mortgage. On a $250,000 loan, the 30-year rate is 6.5% and the 15-year rate is 6.0%. Which statement is MOST ACCURATE?

✓ B) The 30-year loan costs less in total interest over the life of the loan

15-year mortgages have higher monthly payments than 30-year loans (because the principal is paid off in half the time), but result in dramatically less total interest paid over the loan life — often 50-60% less interest. The rate is also typically lower on 15-year loans.

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55. An environmental hazard such as a known underground oil tank on a subject property would MOST LIKELY affect the appraisal by:

✓ A) Having no effect if the property otherwise meets MPRs

Environmental hazards are material facts that affect marketability and value. The appraiser must note known or visible environmental conditions and typically reduces value accordingly. Lenders often require remediation before funding, and some programs specifically address environmental issues in MPRs.

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56. For an FHA loan, the 'base loan amount' is calculated as:

✓ D) The purchase price plus closing costs

The FHA base loan amount = lesser of (1) appraised value or (2) purchase price × the LTV factor (e.g., 96.5% for 580+ credit score). If the purchase price exceeds the appraised value, FHA uses the lower appraised value as the basis.

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57. A borrower wants to apply for a mortgage but has had recent major derogatory events: foreclosure 2 years ago, short sale 3 years ago, and Chapter 13 bankruptcy discharged 4 years ago. Which program has the SHORTEST mandatory waiting periods for all three events?

✓ C) FHA loan program

FHA has some of the shortest waiting periods: foreclosure — 3 years from completion; short sale — 3 years from completion (0 years with no late payments); Chapter 13 BK discharge — 2 years. VA has similar short periods. This borrower, at current timelines, may qualify for FHA but not conventional.

---

58. A borrower receives a $1,000 monthly car allowance from their employer that is reported on their W-2. Their actual car expenses are $1,200/month. How should the MLO treat this income?

✓ B) Include only the net benefit ($1,000 - $1,200 = negative; do not include) or exclude entirely; also exclude the car payment from DTI as it is employer-reimbursed

When a borrower receives a reimbursement allowance, if actual expenses exceed the allowance, the income may be reduced or excluded. The key: if the car loan payment is made by the employer (company car), it may be excluded from DTI. If the borrower has a car loan in their name, it must be included in DTI regardless of reimbursement.

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59. A 'rapid rescore' request requires the MLO to provide the credit reporting company with:

✓ A) A verbal explanation of the changes

Rapid rescore requires documentation: paid receipts, court documents, creditor letters showing the account status has changed. The credit bureau updates the information based on the documentation, not verbal requests. The MLO cannot guarantee any specific score improvement.

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60. A borrower shopping for a mortgage receives a Loan Estimate from Lender A on March 1 and decides to proceed with Lender B instead. The borrower must notify Lender A:

✓ D) The borrower must pay Lender A a non-refundable processing fee

There is no legal obligation for a borrower to notify a lender that they are not proceeding with a loan after receiving a Loan Estimate. The borrower may shop freely. However, if the borrower ordered an appraisal through Lender A, there may be a fee obligation for that specific service.

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61. A borrower qualifies for both FHA (at 3.5% down) and conventional (at 5% down). Which factor would make conventional the BETTER choice?

✓ C) The borrower needs seller concessions above 5%

For a borrower with strong credit (740+) who plans to keep the loan long-term, conventional is often better because: (1) PMI rates are lower for high-credit borrowers; (2) PMI can be cancelled at 80% LTV; (3) FHA MIP on 30-year loans with >90% LTV is permanent. Low-credit borrowers with limited down payment benefit most from FHA.

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62. Social Security retirement income received by a borrower is grossed up by what factor for qualifying purposes under most agency guidelines?

✓ B) Grossed up by 25% (divided by 0.75) because it is not subject to federal income tax for some recipients

Non-taxable income (Social Security, disability, VA benefits, child support, etc.) may be grossed up for qualifying. Most agency guidelines allow grossing up by 25% (multiplying by 1.25) or dividing by 0.75. Example: $2,000/month SS × 1.25 = $2,500 qualifying income. The rationale is that it equals a higher gross income after taxes.

---

63. A borrower has a student loan in income-driven repayment (IDR) with a current payment of $0/month. Under Fannie Mae guidelines, the MLO should include in DTI:

✓ A) The $0 actual payment

Fannie Mae requires MLOs to use 1% of the outstanding student loan balance (or the fully amortizing payment if lower) when the actual payment is $0 or deferred. This prevents understating DTI. FHA also uses a similar rule. This is a frequently tested underwriting detail.

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64. A borrower has a right to receive a copy of the appraisal under Reg B. The lender must provide the appraisal to the borrower:

✓ D) Only if the appraisal results in a value lower than expected

Reg B requires lenders to automatically provide the applicant with a copy of the appraisal (and any other written valuation) no later than 3 business days before loan consummation. The lender cannot withhold the appraisal pending the borrower's 'authorization.'

---

65. A 'clear to close' (CTC) from the underwriter means:

✓ C) The title search has cleared all liens

A 'clear to close' means the underwriter has reviewed and approved all conditions imposed on the original approval. The loan file is complete and the lender is ready to fund. The processor then orders the closing package, coordinates with the settlement agent, and schedules the closing.

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66. For underwriting purposes, a borrower's overtime income may be used for qualifying when:

✓ B) The borrower has a 2-year history of receiving overtime income and the employer confirms it will likely continue

Overtime income requires a 2-year history of receipt and documentation that it will likely continue. Year-to-date (YTD) pay stubs showing consistent overtime plus 2 years of W-2s are typically required. The income is averaged over 24 months.

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67. A borrower's credit report shows a medical collection of $750. Under current Fannie Mae guidelines (as updated):

✓ A) Medical collections must always be paid off before closing

Fannie Mae has moved toward excluding medical collections from DTI calculations. They are treated differently from other collections. Medical debt collections generally do not need to be paid at closing for conforming conventional loans, reflecting the policy recognition that medical debt often arises involuntarily.

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68. The URLA (1003) requires the borrower to disclose all real estate owned. This is important for underwriting because:

✓ D) It is required only if the borrower is purchasing a second property

All real estate owned must be disclosed. Other mortgage payments are included in DTI. The schedule reveals investment properties (rental income may be counted), vacation homes, and helps detect occupancy fraud (claiming primary when the borrower has a primary elsewhere). This is why the REO schedule is critical.

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69. The Three-Day Waiting Period after the Loan Estimate is delivered protects borrowers by:

✓ C) Allowing the lender time to order the appraisal

The 7-business-day waiting period from LE delivery before consummation (not 3 days) ensures the borrower has adequate time to review the LE and shop. The 3-business-day wait before consummation is for the CD. The only fee that can be collected before the 3-day period after LE delivery is the credit report fee.

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70. A 'portfolio loan' is one that:

✓ B) The lender originates and holds in its own portfolio rather than selling to the secondary market

Portfolio loans are kept 'in house' — the originating lender retains the loan in its own portfolio and services it. Because they don't need to meet agency guidelines (Fannie/Freddie/FHA), portfolio lenders can offer more flexible products (higher DTI, non-warrantable condos, non-QM, etc.).

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71. A 'wet settlement' differs from a 'dry settlement' in that:

✓ A) Wet settlements involve higher closing costs

Wet settlement: funds disburse on the day of closing (common in Eastern US). Dry settlement: documents are signed but funds are held pending lender review of the signed documents, then disbursed (common in California and other Western states). The 3-day rescission period on refinances is separate.

---

72. A borrower has a bankruptcy discharged 5 years ago with no derogatory credit since. Their current credit score is 680. For conventional financing, this borrower:

✓ D) Is only eligible for FHA at this point

Fannie Mae's Chapter 7 BK waiting period is 4 years from discharge (2 years with documented extenuating circumstances). At 5 years post-discharge with a 680 score and clean history, this borrower has satisfied the waiting period and can apply for conventional financing.

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73. When calculating DTI for a borrower who will be renting out their current home after purchasing a new primary residence, the MLO should:

✓ C) Include both the full current mortgage and new mortgage with no offset

When a borrower retains a departing residence and converts it to rental, most agencies allow 75% of documented rental income (from a signed lease) to offset the departing mortgage payment in DTI. Without documented rental income, both payments are included in DTI.

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74. On the 1003, the 'purpose of loan' section identifies the transaction as purchase, refinance, or construction. This distinction matters most for:

✓ B) Determining which disclosures are required (e.g., right of rescission applies to refinances of primary residence, not purchases)

The loan purpose determines which federal disclosures apply. The TILA right of rescission applies to refinances (and certain HELOCs) on a primary residence — NOT purchase money mortgages. RESPA's Special Information Booklet is required for purchase transactions, not refinances.

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75. A 'jumbo' mortgage is defined as a loan that:

✓ A) Has a loan amount of $1 million or more

Jumbo loans (also called non-conforming loans) exceed the FHFA conforming loan limits for the specific county or MSA. They cannot be sold to Fannie Mae or Freddie Mac and typically have stricter underwriting requirements, higher rates, and larger down payment requirements.

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76. Which disclosure must an MLO provide if they have a financial interest in a title company to which they refer business?

✓ D) Annual disclosure in the MLO's marketing materials

RESPA requires the Affiliated Business Arrangement disclosure when referring a borrower to a settlement service provider in which the referring party has an ownership interest. The disclosure must be provided at or before the time of the referral, include an estimate of charges, and inform the borrower they may use other providers.

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77. A 'vesting' decision at closing determines:

✓ C) The closing date and time

Vesting refers to how legal title to the property is held. The vesting choice has significant legal and tax implications (survivorship rights in joint tenancy vs. tenancy in common, community property rules in marital states, trust ownership for estate planning). MLOs should refer clients to attorneys for vesting advice.

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78. A borrower receives annual bonus income of $24,000 (paid once per year in December). The borrower has received this bonus for 3 consecutive years. For qualifying purposes, the monthly bonus income is:

✓ B) $24,000 divided by 12 = $2,000/month, averaged over the past 2 years

Bonus income received consistently for 2+ years can be used for qualifying, averaged over 24 months: $24,000/year averaged over 2 years = $24,000/year ÷ 12 = $2,000/month. The income must have a documented history of receipt and a reasonable expectation of continuance.

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79. When reviewing a credit report, a 'charge-off' account means:

✓ A) The debt has been legally forgiven by the IRS

A charge-off means the original creditor wrote off the debt as a loss for accounting purposes — the debt remains legally owed. Charged-off accounts often appear on credit reports for 7 years and may be sold to collection agencies. The borrower still owes the debt despite the charge-off.

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80. In a purchase transaction, who typically selects the settlement/closing agent?

✓ D) Always the real estate agent representing the buyer

The selection of the closing/settlement agent varies by state and local practice. In some states, the buyer selects; in others, the seller; in some markets, the real estate agent. RESPA allows lenders to set requirements but does not dictate who selects unless the lender is paying for the service.

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81. A 'bridge loan' is used to:

✓ C) Finance the construction of a bridge or infrastructure

Bridge loans are short-term financing (typically 6-12 months) that allow a borrower to purchase a new home using equity from their current home before that home sells. They 'bridge' the gap between purchase and sale. They typically have higher rates and fees than permanent financing.

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82. A borrower earns $120,000 per year base salary. The MLO calculates monthly income as $10,000. The proposed PITI is $2,800. Monthly debts include: car $400, student loan $350, minimum credit card $150. What is the back-end DTI?

✓ B) 36%

Total monthly obligations = PITI + all debts = $2,800 + $400 + $350 + $150 = $3,700. Back-end DTI = $3,700 ÷ $10,000 = 37%. Front-end (housing only) = $2,800 ÷ $10,000 = 28%. Always include PITI in back-end DTI.

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83. The SAFE Act requires the MLO's NMLS Unique Identifier to appear on which documents?

✓ A) Only on the 1003 (loan application)

The SAFE Act and NMLS requirements mandate that the MLO's Unique Identifier appear on: (1) loan applications, (2) loan documents, (3) advertisements, and (4) solicitations. This allows consumers and regulators to identify and look up the MLO in NMLS Consumer Access.

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84. A homebuyer purchases a new home and receives the Closing Disclosure 2 business days before closing (not the required 3). This error:

✓ D) Is only a violation if the borrower complains

Delivering the CD fewer than 3 business days before consummation is a TRID violation. The loan cannot be consummated (closed) until 3 business days after the borrower receives the CD. The closing must be postponed. The borrower's waiver does not cure the violation.

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85. Which of the following loan types is specifically designed for purchasing and renovating a property in a single loan transaction?

✓ C) VA IRRRL

The FHA 203(k) rehabilitation mortgage allows borrowers to purchase (or refinance) and renovate a property using a single loan. The renovation costs are included in the loan amount, with funds disbursed to contractors as work is completed. Two types: Limited 203(k) (up to $35,000 in repairs) and Standard 203(k) (larger projects).

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86. At the closing table, the borrower reviews and signs the Note, Deed of Trust/Mortgage, and Closing Disclosure. If there is a discrepancy between what was verbally promised by the MLO and what appears in the final documents:

✓ B) The written loan documents control — the contract is the signed documents, and verbal representations generally do not supersede them

The signed loan documents are the binding contract. Verbal representations by the MLO generally do not supersede the written, executed loan documents. This is why UDAAP violations occur when MLOs make oral promises inconsistent with the written terms — the consumer relied on the representation but the documents tell a different story.

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87. An MLO's company charges a $750 'administrative compliance fee' at closing that was not on the Loan Estimate. The fee is buried in a 3-page addendum to the closing package, disclosed only minutes before signing. A regulator analyzing this under UDAAP Unfair would focus on which element?

✓ A) Whether the fee amount is excessive

The 'not reasonably avoidable' prong of UNFAIR is the key issue. A fee disclosed minutes before closing in an obscured addendum — after the borrower has already committed (packed, arranged movers, given notice to landlord) — is not reasonably avoidable. The consumer's practical inability to walk away at that point is the injury's unavoidability.

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88. An MLO tells a first-time homebuyer that their rate is 'the best rate available anywhere in the market today.' The rate is actually 0.75% higher than rates available from competing lenders. Under UDAAP Deceptive, the key analysis is:

✓ D) Whether the MLO made the statement in writing or only verbally

DECEPTIVE requires: (1) misleading statement (false claim that the rate is 'the best available'); (2) reasonable consumer would be misled (yes — a reasonable first-time buyer trusts their MLO on rate comparisons); (3) material (rate directly affects monthly payment and total cost). All three elements are met. Written vs. oral is irrelevant — oral statements can be DECEPTIVE.

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89. Which of the following MOST ACCURATELY describes conduct that could be both UNFAIR and ABUSIVE simultaneously under UDAAP?

✓ C) Filing a SAR report without informing the borrower

The same conduct can constitute multiple UDAAP violations. Charging high fees to vulnerable borrowers (elderly with cognitive decline) who cannot protect their interests satisfies: ABUSIVE (taking unreasonable advantage of inability to protect own interests) AND UNFAIR (substantial injury not reasonably avoidable, not outweighed by benefits). This overlap is intentional in UDAAP.

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90. A mortgage company employee creates fictitious borrowers, properties, and appraisals to obtain mortgage loans, then pockets the proceeds. Loan payments are never made. This scheme is called:

✓ **B) Property flipping fraud**

An air loan scheme involves entirely fictitious transactions: no real property, no real borrower, and no real transaction. The fraudster creates fake documentation for every element. This is the most purely fraudulent form of mortgage fraud and typically requires insiders (e.g., employees with access to lender systems, bogus appraisers, fake title companies).

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91. A borrower is approved for a mortgage with a stated income of $95,000/year. The borrower's actual income is $65,000/year. The MLO prepared the loan knowing the income was inflated. Both the borrower and MLO are:

✓ **A) Only the borrower is at fault; the MLO was just doing their job**

Both parties face criminal liability. The borrower committed mortgage fraud by misrepresenting income. The MLO, by knowingly facilitating the fraud, is potentially liable for conspiracy to commit mortgage fraud, bank fraud, or wire fraud — federal crimes carrying significant prison sentences. 'The borrower signed it' is not a defense when the MLO knows the information is false.

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92. An MLO repeatedly contacts elderly homeowners with significant equity and encourages them to refinance every 12-18 months, collecting origination fees each time without improving the borrower's financial position. This BEST describes:

✓ **D) An affiliated business arrangement**

Loan flipping is a predatory practice: repeatedly refinancing the same borrower to generate fees, with each refinance stripping equity through closing costs, without improving the borrower's terms or overall financial position. Targeting elderly homeowners with equity is a classic predatory pattern.

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93. Under Reg Z's loan originator compensation rules, which of the following is a PERMITTED form of variable compensation for an MLO?

✓ **C) Higher compensation based on loan TYPE (e.g., FHA vs. conventional) rather than loan TERMS**

Reg Z's LO compensation rule prohibits compensation that varies based on loan TERMS (rate, APR, prepayment penalty, amount). Compensation may vary based on loan TYPE (FHA, VA, conventional, USDA) as long as this is not used as a proxy for loan terms. Compensation based on loan type is permissible.

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94. A borrower brings $9,900 in cash to the closing — slightly under the $10,000 CTR threshold — and mentions they made three similar cash deposits last week. The MLO suspects structuring. The MLO should:

✓ **B) File a SAR within 30 days and NOT tip off the borrower that a report is being filed**

Structuring transactions to avoid the $10,000 CTR reporting threshold is itself a federal crime (31 U.S.C. §5324). The MLO must file a SAR for suspicious activity. Tipping off the borrower that a SAR is being filed is prohibited ('tipping off' prohibition, 31 U.S.C. §5318(g)(2)). The CTR threshold applies per transaction, but structuring multiple transactions is the crime.

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95. A lender offers a 'free rate lock' promotion but buries in the fine print that the lock automatically expires in 15 days (while competitors offer 30-60 day locks), and any extension requires a non-refundable 1% fee. When rates rise and borrowers are forced to pay the extension fee, the CFPB would likely analyze this as:

✓ **A) A permissible business practice since the fee was disclosed in fine print**

UNFAIR: the injury (paying a non-refundable 1% fee) is not reasonably avoidable because the lock structure was designed to mislead (buried fine print, short period). Once the borrower is committed to the purchase and rates have risen, their practical ability to switch lenders and avoid the fee is severely limited. This is also potentially DECEPTIVE (the 'free' claim).

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96. A property is purchased for $150,000, quickly 'flipped' to a straw buyer for $300,000 using a fraudulent appraisal, and the proceeds are split among conspirators. The lender later forecloses at the actual value of $150,000 and suffers a $150,000 loss. This scheme is called:

✓ **D) An air loan**

Property flipping fraud involves purchasing a property at market value, then quickly re-selling it at an inflated price using a fraudulent appraisal and a straw buyer. The lender funds a loan at the inflated value; when default and foreclosure occur, the lender suffers losses based on the gap between the inflated and actual value.

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97. A mortgage company advertises '1.99% mortgage rates!' in large font on a billboard. In small print readable only up close, the ad states this rate is for 7-day adjustable loans with a 50% LTV and maximum borrower credit score of 800. This advertisement is MOST LIKELY:

✓ **C) Permissible as long as any qualifying consumer could theoretically obtain the rate**

DECEPTIVE advertising: the 1.99% headline (1) creates a misleading impression; (2) reasonable consumers would be misled into calling/applying based on an unattainable rate; (3) material (the rate is the central decision-making factor in choosing a lender). Fine print that contradicts the headline does not cure the deception under UDAAP — the overall impression controls.

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98. 'Packing' as a predatory lending practice involves:

✓ B) Adding unnecessary or undisclosed products (credit insurance, extended warranties, debt protection plans) into a loan without the borrower's full knowledge or consent

Packing involves adding unwanted, unnecessary products to a loan — often without clear disclosure or meaningful consent — and financing the costs into the loan. Single-premium credit insurance is the most common example. The borrower pays interest on the packed product for the loan term with minimal or no benefit.

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99. An MLO is simultaneously a licensed real estate agent and is representing the seller on the same transaction where they are originating the mortgage for the buyer. This creates:

✓ A) No conflict — dual licensure is common in the industry

Representing both the seller (as agent) and originating the buyer's financing creates inherent conflicts: the MLO has interests on both sides of the transaction. This may violate the MLO's duty to act in the borrower's best interest, create RESPA issues, and many lenders prohibit it via policy. Full disclosure is the minimum required step; abstention from one role may be required.

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100. Under BSA, a 'Suspicious Activity Report' (SAR) must be filed within how many days of detecting suspicious activity?

✓ D) 60 calendar days for loans under $25,000

SARs must be filed within 30 calendar days from the date the financial institution determines that a transaction or pattern requires reporting. If no subject is identified, this period can extend to 60 days. The institution must retain documentation of the suspicious activity for 5 years.

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101. The 'countervailing benefits' element of the UNFAIR test asks the regulator to weigh:

✓ C) The number of consumers harmed versus the number who benefited

The third element of UNFAIR is that the injury is NOT outweighed by countervailing benefits to consumers or to competition. If a practice causes some harm but provides significant consumer benefits (lower prices, new products, more competition), it may not meet the UNFAIR standard. This is a balancing test, unlike DECEPTIVE or ABUSIVE.

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102. A buyer cannot qualify for a mortgage on their own. A friend agrees to be the 'straw buyer' — taking the loan in their own name and transferring title afterward. Which of the following MOST ACCURATELY describes this situation?

✓ B) Straw buyer fraud — the straw buyer misrepresents their intent to occupy and be the true borrower; both parties may face criminal liability

A straw buyer takes a loan in their name for the benefit of another person who cannot qualify, representing themselves as the true borrower and typically as the intended occupant. This is mortgage fraud — both the straw buyer and the true buyer may face criminal charges. Unlike co-borrower arrangements, the straw buyer has no beneficial interest in the property.

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103. An MLO pushes a borrower to close on a loan the day before the borrower's attorney can review the documents, saying 'the rate lock expires tomorrow and you'll lose the rate.' The borrower is not fluent in financial matters and relies on the MLO's guidance. The attorney later finds significant fee discrepancies. This scenario MOST LIKELY illustrates:

✓ A) UNFAIR — because the borrower suffered substantial monetary harm

This is ABUSIVE on two prongs: (1) materially interfering with the borrower's ability to understand terms (by denying attorney review time); (2) taking unreasonable advantage of the borrower's reasonable reliance on the MLO to act in their interest. A legitimate rate lock deadline is a real constraint, but using it to rush a financially unsophisticated borrower away from legal counsel is abusive.

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104. Which of the following is specifically listed as a predatory lending practice in regulatory guidance?

✓ D) Adjustable-rate mortgages with full disclosure of all caps and indexes

Balloon loans with short terms sold to borrowers who cannot realistically refinance (due to income, credit, or market conditions when the balloon comes due) are predatory. The lender benefits when the borrower defaults; the loan is designed to fail. Full disclosure does not cure predatory loan design.

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105. An MLO discovers during processing that a borrower has an undisclosed liability (a co-signed loan for a family member) that would push DTI above approval limits. The MLO should:

✓ C) Advise the borrower to refinance the co-signed loan before closing

An MLO who knows about a material undisclosed liability and conceals it from the lender is participating in mortgage fraud. The duty of an MLO is to ensure the loan application accurately reflects the borrower's financial situation. Concealing known facts is fraud for profit and can result in criminal prosecution of the MLO.

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106. The SAFE Act's pre-licensing education requirement of 20 hours must include 3 hours of federal law content. Which of the following topics would be MOST appropriate for those 3 hours?

✓ B) Federal mortgage laws: TILA, RESPA, ECOA, Fair Housing Act, HOEPA, HMDA, and SAFE Act provisions

The 3-hour federal law component of pre-licensing education covers major federal mortgage-related laws: TILA (Reg Z), RESPA (Reg X), ECOA (Reg B), Fair Housing Act, HOEPA, HMDA (Reg C), and the SAFE Act itself. These are the core federal laws governing residential mortgage origination.

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107. An MLO completes 8 hours of CE in November of Year 1. The CE provider submits the completion to NMLS. The MLO renews their license before the December 31 deadline. In Year 2, to satisfy CE, the MLO must complete:

✓ A) 0 hours — the prior year's CE carries over

Annual CE must be completed every year — there is no carryover. In Year 2, the MLO must complete 8 hours of CE. They CANNOT satisfy this by taking the same NMLS-approved courses they took in Year 1 (consecutive year prohibition). They must take different approved courses.

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108. Which of the following activities does NOT require an MLO license under the SAFE Act?

✓ D) Offering residential mortgage loan terms to a borrower for compensation

Clerical and administrative functions — collecting and entering borrower information, coordinating documents, tracking loan status, communicating general loan status updates — do NOT require an MLO license, as long as the person does not take applications, offer terms, or negotiate terms. This is the loan processor exemption.

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109. An MLO who changes employers must:

✓ C) Surrender their current license and reapply

The NMLS Unique Identifier is permanent and does not change when the MLO changes employers. The MLO submits a sponsorship/association request to link their existing NMLS record to the new employer. The new employer must also be registered/licensed in NMLS and must sponsor the MLO.

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110. A registered MLO (employee of a national bank) decides to join an independent mortgage company. Under the transitional license provision:

✓ B) The MLO may originate loans as a state-licensed MLO for up to 120 days while their state license application is pending, even if they haven't yet completed pre-licensing education

EGRRCPA §106 created the transitional license for registered MLOs (bank employees) transitioning to state licensing. They may originate for up to 120 days while the application is pending. This enables a smooth transition without a gap in origination activity while completing the state licensing process.

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111. An MLO applicant discloses that 10 years ago they were convicted of felony embezzlement from their prior employer (a bank). Under the SAFE Act, this conviction:

✓ A) Is no longer relevant because it occurred more than 7 years ago

Embezzlement involves breach of trust and/or theft — it triggers the PERMANENT bar under the SAFE Act. The permanent bar has NO time limitation and NO exceptions. It applies regardless of how long ago the conviction occurred. The 7-year bar applies to other (non-financial crime) felonies only.

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112. A state requires MLO candidates to pass a state-specific written test in addition to the national SAFE MLO Test. This requirement is:

✓ D) Invalid if the pass rate for the state test is below 50%

The SAFE Act sets minimum federal standards but explicitly permits states to impose stricter requirements. Many states require additional state-specific testing covering state mortgage law, licensing rules, and local regulations. These requirements are valid as long as they meet or exceed the federal minimums.

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113. NMLS Consumer Access allows the public to search for an MLO's information. Which of the following accurately describes what is publicly available?

✓ C) Exam scores and pre-licensing education completion records

NMLS Consumer Access provides: current license status, license history, employment history, and regulatory/disciplinary actions. It does NOT include: exam scores, credit report information, home addresses, salary data, or detailed background check results. This protects personal information while providing transparency on professional standing.

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114. An individual who solely works as a loan processor and does not take applications or negotiate loan terms is:

✓ B) Exempt from MLO licensing as long as they work under the supervision of a licensed MLO and do not negotiate terms

Loan processors who perform only administrative/clerical functions and do not take applications, offer terms, or negotiate terms are generally exempt from MLO licensing requirements. However, they typically must work under the supervision of a licensed MLO (or within a licensed company). Some states have processor registration requirements.

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115. The 2-hour nontraditional mortgage products component of pre-licensing education is designed to ensure MLOs understand:

✓ A) Investment property analysis and cap rate calculations

The 2-hour nontraditional mortgage products requirement ensures MLOs understand the risks and features of non-standard products: ARMs, interest-only loans, negative amortization products, balloon loans, and similar products. MLOs must understand these products to explain them accurately and ethically to borrowers.

116. An MLO who fails to complete annual CE by the license renewal deadline may:

✓ D) Request a 60-day administrative extension from the state regulator

A lapsed license (due to failure to complete CE or renew by the deadline) means the MLO may not originate ANY loans — zero grace period. States may allow reinstatement within a certain window without retaking the exam, but origination is prohibited during the lapse. Late renewal fees may also apply.

117. The transitional license period of 120 days begins when:

✓ C) The applicant passes the national SAFE exam

The 120-day transitional license period begins when the applicant begins operating under the new licensee (state-licensed company) or new employment, as specified by state implementation of EGRRCPA §106. The clock runs from the start of transitional origination activity, not from submission of all license documents.

118. An MLO applicant has a prior DUI conviction (misdemeanor) from 3 years ago. Under the SAFE Act, this conviction:

✓ B) Results in a 7-year bar from the conviction date

The SAFE Act's automatic bars apply to: (1) permanent bar for financial crime felonies; (2) 7-year bar for other felonies. A misdemeanor DUI is not a felony and does not trigger an automatic bar. However, all criminal history must be disclosed in the NMLS application, and states have discretion to consider the conviction in their licensing decision.

119. Which of the following is NOT a permissible way to satisfy the CE requirement?

✓ A) Taking an NMLS-approved 8-hour course covering all required topics

The national SAFE MLO test (pre-licensing test) does NOT count toward CE. CE must consist of NMLS-approved continuing education courses covering the required topics (federal law, ethics, nontraditional products, elective). Teaching approved CE courses is generally permissible as an alternative to taking them.

120. Under the SAFE Act, the term 'residential mortgage loan' does NOT include loans secured by which of the following?

✓ D) A purely commercial office building with no residential component

The SAFE Act's 'residential mortgage loan' definition covers loans secured by a 1-to-4 family dwelling: single-family homes, condos, co-ops, manufactured homes on permanent foundations, and 2-4 unit properties. A purely commercial office building with no residential component is NOT a residential mortgage loan and is not subject to SAFE Act MLO licensing.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	**EXCELLENT ✓**	Review any missed; you're on track to pass.
90–107 (75–89%)	**PASS ✓**	Close! Shore up weak topics in study notes.
72–89 (60–74%)	**BORDERLINE**	Re-read weak sections; retake this exam.
0–71 (below 60%)	**NEEDS WORK**	Study notes first, then retry in 24 hrs.